

Just in terms of scale, globally the CDMO and complex hospital generics businesses have a target market of over \$50 billion each, while India's consumer health-care market is \$6-10 billion.

Just why is a buyout a better strategy today? The top 300-400 pharma companies account for 85-90 per cent of the total market by revenue, while the balance comes from over 10,000 entities. In that sense, organic growth will do reasonably well but is unlikely to be remarkable. This is really where scale is critical to grow quickly. Sirdesai maintains the first version of Piramal was actually an aggregation strategy. "Interestingly, it was never looked at that way. He basically picked up companies at low valuations and knew how to monetise their real estate and integrate the acquisitions successfully to create a large pharma organisation," he says. According to him, Piramal focussed more on acquisitions and collaborations than a greenfield strategy to build his business. "It was an approach ahead of its time. Even when Abbott bought out a significant part of the domestic formulations business, they paid a premium since it catapulted them to the No. 1 position."

In many ways, the aggregator approach is seen today, too, but with a greater focus on niche areas such as hospital generics and consumer health, both being potentially large markets where players have found execution to be a hurdle. The understanding of injectables will stand Piramal in good stead apart from the experience of CDMO. "The challenge is that the business is tender-based leading to margins being under pressure. However, the overseas



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HEMENDRA KOTHARI
CHAIRMAN, DSP
INVESTMENT MANAGERS



"Facts tell but stories sell. Ajay and Swati (Piramal's wife) work as a close team and have always presented their proposals in a seductive story format supported by solid numbers and outcomes. This sets them apart"

RANJIT SHAHANI
FORMER VICE CHAIRMAN &
MD, NOVARTIS INDIA

markets are more attractive, though one has to get it right on high levels of scrutiny on quality and ESG," says Sirdesai. On margins, India could offer 45-50 per cent at the gross level, but that number in other markets is as high as 70-80 per cent. Sirdesai is clear that pharma companies come with a mindset of that industry and not FMCG, though the opportunity does exist to build a large-scale business.

Veteran investment banker and Chairman, DSP Investment Managers, Hemendra Kothari, gives Piramal credit when it comes to understanding a business well. "When he took charge of the family textile business at a young age, it was a huge challenge. It was not very large and the pharmaceutical part came much later, but he was quick to grasp it," he says. That foray not only gave Piramal an exposure into the business but also the importance of thinking big. "Over time, with his wife who is a doctor, they began scaling up significantly. Once they succeeded, they knew that the key was scale and since then, that concept comes very easily to them."

Through this journey, one does ask Piramal if an opportunity or two went past him and he now realises it might have been a miss. With a smile, he says that has never been his line of thinking. He does not stop there. With a sense of firmness couched very well in that soft voice, he says, "If we decide to go for something, we will get it." It is a sound indication of how much homework is done before pursuing an opportunity. Ajay Piramal is clearly keeping his eyes and ears open. **BT**

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